

Texas Instruments Incorporated

NASDAQ: TXN | Semiconductors — Analog & Embedded Processing | Large-cap

RATING	12-MONTH TARGET	DOWNSIDE	CMP (03 Jun 2026)
REDUCE	\$280	-9.5%	\$309.26

Conviction: **Medium** · Horizon: **12 months** · Suggested re-accumulation zone: **\$235–\$260**

Market Cap	\$281.5 B	52-Wk Range	\$152.73 – \$331.51
P/E (TTM)	52.7x	Forward P/E	37.4x
EV / EBITDA	33.6x	P/B	16.7x
EPS (TTM, dil.)	\$5.84	Book Value / sh	\$18.38
ROE	32.5%	ROCE	20.7%
Dividend Yield	1.84%	Payout Ratio	~100%
Net Debt	\$9.2 B	Net Debt / EBITDA	1.1x
Beta (5Y)	1.30	200-DMA	\$204.95
Inst. Ownership	89.4%	Street Avg Target	\$290 (Buy)

INVESTMENT THESIS	World's best analog franchise riding a real cyclical + AI-datacenter recovery — but priced for perfection at 37x forward.
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Analyst: Senior Semiconductors Analyst, Momentum Institutional Equities | **Report date:** 03 June 2026 | **Next catalyst:** Q2 FY26 results, 21 Jul 2026

All financial data sourced from stockanalysis.com (fetched 03-Jun-2026). Fiscal year = calendar year (Dec). FY2026E/FY2027E are analyst estimates, grounded in reported actuals and management guidance. '(E)' denotes estimate. This document is for information only and is not investment advice.

2 Investment Thesis

- **Reason 1 — Structural #1 in analog with a widening 300mm cost moat:** TXN is the world's largest analog chipmaker, and its shift of internal manufacturing to 300mm wafers ($\approx 40\%$ lower unit cost than 200mm) is a durable, self-funded edge. With internal manufacturing targeted at $>95\%$ by 2030 and the Sherman (TX) mega-site ramping, TXN should structurally out-earn peers through the cycle (TTM ROCE 20.7%, ROE 32.5% — best in the analog group).
- **Reason 2 — Cyclical recovery is real and broadening (12–24 months):** After a brutal 2022→2024 downcycle (revenue fell from \$20.0B to \$15.6B), the analog cycle has inflected: FY2025 revenue +13% to \$17.68B and Q1 FY26 +19% YoY. Industrial revenue rose $>30\%$ YoY in Q1 FY26 yet remains $\sim 15\%$ below its 2022 peak — leaving runway as the broadest end-market wakes up.
- **Reason 3 — Capex cliff unlocks free-cash-flow inflection:** 2026 capex is guided down sharply to \$2–3B (from $\sim \$4.6$ B in 2025). With revenue recovering and the build-out digesting, management targets $>\$8$ FCF/share in 2026 (vs \$2.85 in FY2025) — a step-change in cash generation that, plus the $\sim \$6$ –8B CHIPS investment tax credit, supports the dividend and buybacks.
- **Near-term catalyst (6–12 months):** Q2 FY26 print on 21 Jul 2026 (guided revenue \$5.00–5.40B, EPS \$1.77–2.05) and durability of the $+90\%$ YoY data-center ramp into H2. A clean beat-and-raise would validate the bull case; any sign the pricing-led margin lift is fading would puncture it.
- **Biggest structural risk — valuation, not the business:** At 37x forward earnings, 33.6x EV/EBITDA and 16.7x book — roughly 50–70% above TXN's own 10-year norms — the stock has priced in a full recovery plus an AI premium. The Street's own average target (\$290) sits $\sim 6\%$ below the \$309 quote. The asymmetry is now unfavourable.

3 Business Overview

- **What it does:** TXN designs and manufactures analog and embedded-processing semiconductors — the unglamorous but essential chips (power management, signal chain, data converters, microcontrollers) that condition power and translate real-world signals. It sells $\sim 80,000$ products to $\sim 100,000$ customers, predominantly via a direct sales channel and ti.com, giving it real-time demand visibility.
- **Segment mix (Q1 FY26):** Analog \$3.92B (+22% YoY), $\sim 81\%$ of revenue; Embedded Processing \$0.72B (+12% YoY), $\sim 15\%$; 'Other' $\sim \$0.19$ B. Analog is the profit engine (Q1 segment operating profit \$1.64B vs Embedded \$0.12B).
- **End markets:** Industrial (~ 30 –40% of revenue) and Automotive ($\sim 30\%+$) dominate — long-lived, high-mix, high-margin sockets. Personal electronics, communications equipment and enterprise/data-center make up the balance. Data center is the new growth vector at ~ 11 –12% of sales and $+90\%$ YoY in Q1 FY26.
- **Revenue visibility & pricing:** No reported 'order book' in the project sense, but catalogue breadth and long product lifecycles give recurring demand. TXN has pushed multiple list-price increases through 2026 (reported ranges of 15–85% on select parts; further hikes flagged for mid-2026), a hallmark of a tight-supply analog upcycle.
- **Manufacturing strategy:** A multi-year, $>\$60$ B build of seven 300mm fabs across three US sites (Sherman TX, Lehi UT, Richardson TX). Sherman SM1 is in production and ramping; a second cleanroom adds ~ 20 k wafer starts/month by 2028. The goal: geopolitically dependable, low-cost internal capacity at $>95\%$ by 2030.
- **Ownership:** No promoter/family block (typical US structure). Institutions own $\sim 89.4\%$; insiders $\sim 0.1\%$. CEO Haviv Ilan (appointed 2023, a long-tenured TI insider) and CFO Rafael Lizardi lead a management team known for a disciplined, cash-return-led capital philosophy.

4 Industry & Competitive Landscape

- **Market size & growth:** The global analog semiconductor market is $\sim \$85$ –105B (2025–26 estimates vary by source) and is forecast to compound at $\sim 6\%$ to $\sim \$175$ B by 2033. Automotive analog is the fastest sub-segment (~ 9 –10% CAGR) on rising silicon content per vehicle (electrification, ADAS).

- **Policy tailwinds:** The US CHIPS & Science Act and the manufacturing investment tax credit directly subsidise TXN's domestic build — ~\$1.6B direct funding (~\$630M received) plus an estimated \$6–8B ITC over time. Reshoring and 'supply-chain sovereignty' demand favour TXN's US-centric capacity.
- **Headwinds:** Analog is deeply cyclical and tied to industrial/auto capex; Chinese domestic substitution is accelerating (local players targeting the very catalogue parts TXN is re-pricing), a multi-year share-and-pricing risk.
- **Competitive moat — rated:** Scale & cost (300mm internal fabs) — **Strong**; Breadth/distribution (~80k SKUs, direct channel) — **Strong**; Switching costs (designed-in, long lifecycles) — **Moderate–Strong**; Pricing power — **Moderate** (real in this upcycle, but cyclical and contestable by Chinese supply); IP/technology — **Moderate** (process & design know-how, not bleeding-edge nodes).
- **Value-chain position:** Integrated device manufacturer (IDM) — owns design, wafer fab, and increasingly assembly/test. This vertical control is the source of both the cost moat and the capital intensity.

Peer snapshot — listed analog / broad-line semiconductor competitors

Company (Ticker)	CMP \$	MCap \$B	TTM Rev \$B	ROCE %	ROE %
Texas Instruments (TXN)	309.26	281.5	18.44	20.7	32.5
Analog Devices (ADI)	432.77	210.8	12.74	9.4	9.8
NXP Semiconductors (NXPI)	320.28	80.9	12.62	15.2	34.9
onsemi (ON)	132.11	51.8	6.06	5.5	7.7
Microchip (MCHP)	95.86	52.0	4.71	3.7	3.5

Source: stockanalysis.com, fetched 03-Jun-2026 (TTM figures). PE distorted across the group by cyclically depressed earnings (esp. MCHP, ON), so ROCE/ROE shown here as the cleaner quality screen.

5 Management Quality & Capital Allocation

- **Leadership:** CEO Haviv Ilan (CEO since 2023; ~25-year TI veteran, ex-head of Analog) and CFO Rafael Lizardi run the company on an explicit north star: 'long-term growth of free cash flow per share.' This framing has been remarkably consistent across cycles.
- **Capital-allocation track record:** TXN's stated policy is to return effectively all free cash flow over time via dividends and buybacks. In 2025 it returned ~\$6.5B (~\$5.0B dividends + ~\$1.5B buybacks) against ~\$4.6B capex — i.e. it leaned on the balance sheet to fund the fab build while protecting the payout.
- **Dividend policy:** 22 consecutive years of dividend increases; DPS rose from \$4.21 (FY21) to \$5.50 (FY25), now \$5.68 annualised. But the payout ratio has climbed to ~100% of earnings (FY25 99.96%) because the dividend kept rising while cyclical earnings fell — a yellow flag until FCF re-inflects.
- **Buybacks & share count:** Repurchases throttled back during the capex peak (FY25 buybacks ~\$1.5B); diluted share count has drifted down only modestly (936M FY21 → 913M FY25). Stock-based comp is modest (~\$0.4B/yr).
- **Balance-sheet evolution:** TXN swung from net cash of ~\$2.0B (FY21) to net debt of ~\$9.2B (FY25) to fund the fab programme and dividend — net debt/EBITDA ~1.1x. Manageable, but a real change from the historically fortress balance sheet, and worth monitoring if the cycle disappoints.
- **Governance:** No promoter pledging / RPT concerns typical of the US structure; clean auditor history. The chief governance debate is strategic, not ethical — whether the aggressive, debt-assisted capex super-cycle was the right use of shareholder capital. We judge it defensible given the cost & sovereignty payoff, but it raised risk.

6 Financial Deep-Dive

Income Statement (USD M, except per-share)

Year (Dec)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E
Revenue	18,344	20,028	17,519	15,641	17,682	20,800	23,300
Revenue growth %	26.9	9.2	-12.5	-10.7	13.0	17.6	12.0
Gross profit	12,376	13,771	11,019	9,094	10,083	12,200	14,000
Gross margin %	67.5	68.8	62.9	58.1	57.0	58.5	60.0

Year (Dec)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E
Operating income (EBIT)	8,960	10,140	7,331	5,465	6,023	7,900	9,550
Operating margin %	48.8	50.6	41.8	34.9	34.1	38.0	41.0
EBITDA	9,914	11,119	8,569	7,045	8,022	9,900	11,600
Net interest exp.	-184	-214	-353	-508	-543	-560	-560
Pre-tax profit	8,919	10,032	7,418	5,453	5,710	8,300	10,050
Effective tax %	12.9	12.8	12.2	12.0	12.4	12.5	12.5
Net income	7,769	8,749	6,510	4,799	5,001	7,350	8,800
Net margin %	42.4	43.7	37.2	30.7	28.3	35.3	37.8
EPS (diluted, \$)	8.26	9.41	7.07	5.20	5.45	8.05	9.70
DPS (\$)	4.21	4.69	5.02	5.26	5.50	5.68	5.92

Balance Sheet (USD M)

Year (Dec)	FY21	FY22	FY23	FY24	FY25
Cash & short-term inv.	9,739	9,067	8,575	7,580	4,881
Receivables	1,701	1,895	1,787	1,719	1,963
Inventory	1,910	2,757	3,999	4,527	4,804
Net PP&E	5,141	6,876	9,999	11,347	12,320
Goodwill & intangibles	4,447	4,514	4,585	4,619	4,568
Total assets	24,676	27,207	32,348	35,509	34,585
Total debt	7,741	8,735	11,223	13,596	14,048
Total liabilities	11,343	12,630	15,451	18,606	18,312
Total equity	13,333	14,577	16,897	16,903	16,273
Net cash / (net debt)	1,998	332	-2,648	-6,016	-9,167
Book value / share (\$)	14.24	15.74	18.45	18.39	17.82

Cash Flow (USD M)

Year (Dec)	FY21	FY22	FY23	FY24	FY25
Cash from operations	8,756	8,720	6,420	6,318	7,153
Capex	-2,462	-2,797	-5,071	-4,820	-4,550
Free cash flow	6,294	5,923	1,349	1,498	2,603
FCF / share (\$)	6.72	6.40	1.47	1.63	2.85
Dividends paid	-3,886	-4,297	-4,557	-4,795	-4,999
Buybacks	-527	-3,615	-293	-929	-1,477

Returns & Leverage Ratios (% , x)

Year (Dec)	FY21	FY22	FY23	FY24	FY25	TTM
ROE %	69.0	62.7	41.4	28.4	30.1	32.5
ROCE %	45.9	43.8	27.5	17.9	19.0	20.7
ROIC %	64.9	61.3	34.7	20.7	20.2	20.8
Current ratio (x)	5.33	4.70	4.55	4.12	4.35	4.46
Inventory turns (x)	3.09	2.68	1.92	1.54	1.63	1.66
Debt / equity (x)	0.54	0.56	0.63	0.76	0.83	0.77
Net debt / EBITDA (x)	-0.20	-0.03	0.31	0.85	1.14	1.04
Dividend payout %	50.0	49.1	70.0	99.9	100.0	96.1

Commentary

- **Revenue trajectory:** A textbook analog cycle — peak \$20.0B (FY22), trough \$15.6B (FY24, -22% from peak), now recovering (\$17.68B FY25, +13%; Q1 FY26 +19% YoY). We model \$20.8B FY26E / \$23.3B FY27E, i.e. the cycle reclaiming and exceeding its prior peak, led by industrial breadth and data-center content.
- **Margins:** Gross margin compressed from 68.8% (FY22) to 57.0% (FY25) and operating margin from 50.6% to 34.1% — driven by lower utilisation and a wave of depreciation from the new 300mm fabs. Q1 FY26 gross

margin rebounded to 58% (+210bps QoQ); operating leverage is now the key swing factor as utilisation climbs.

- **Working capital:** Inventory build was deliberate — days inventory peaked then eased to 209 in Q1 FY26 (target 150–250). Inventory turns fell from 3.1x (FY21) to ~1.6x, a drag on capital efficiency that should reverse with demand.

- **Balance sheet:** Net debt of ~\$9.2B (from net cash in FY21–22) at ~1.1x EBITDA — comfortable but no longer a fortress. Debt funded the capex/dividend gap during the trough.

- **FCF quality — the crux:** FCF collapsed from \$6.3B (FY21) to ~\$1.3–1.5B (FY23–24) as capex ran at ~\$5B against falling cash earnings; CFO/PAT conversion stayed healthy (>1.0x), so the squeeze was capex, not earnings quality. With 2026 capex guided to \$2–3B, management targets >\$8 FCF/share — a credible ~3x jump that underpins the bull case.

7 Earnings Quality Checklist

Metric	Rating	Comment
Revenue recognition	GREEN	Standard product-sale recognition; direct channel, low channel-stuffing risk.
Receivables vs revenue	GREEN	Receivables \$1.96B grew in line with the revenue recovery; DSO benign.
Inventory / CCC trend	AMBER	Inventory turns fell to ~1.6x; 209 days still elevated vs history — watch the drawdown.
Other income vs PBT	GREEN	Non-operating items small; PBT driven by core operations.
Tax-rate consistency	GREEN	Effective tax stable at ~12–13% across all years; no one-off tax flatter.
Auditor / governance	GREEN	Clean auditor history; no qualified opinions or restatements.
Dividend payout headroom	AMBER	Payout ~100% of FY25 earnings — only sustainable if FCF re-inflects as guided.
Leverage direction	AMBER	Net cash -> ~\$9.2B net debt over 4 years; fine at 1.1x EBITDA but trend bears watching.

- **Overall: clean accounting, cyclical balance-sheet stress.** There are no red flags on revenue, tax, or auditor integrity — earnings quality is high.

- **Amber #1 — payout at ~100%:** the dividend is only comfortably covered once FCF/share recovers toward the guided >\$8 in 2026. A demand stumble would make the payout look stretched.

- **Amber #2 — inventory & turns:** 209 days and 1.6x turns are well above TXN's historical efficiency; a healthy demand recovery should normalise these, but a relapse would tie up capital.

- **Amber #3 — leverage trend:** the swing to ~\$9.2B net debt is benign today but removes the balance-sheet shock-absorber that protected the dividend in past downturns.

8 Valuation

Peer Valuation Comparison

Company	CMP \$	MCap \$B	P/E	Fwd P/E	P/B	EV/EBITDA	ROE %
Texas Instruments	309.26	281.5	52.7	37.4	16.7	33.6	32.5
Analog Devices	432.77	210.8	64.4	31.3	6.1	34.9	9.8
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onsemi	132.11	51.8	91.0	38.1	6.9	25.7	7.7
Microchip	95.86	52.0	n.m.	30.7	8.2	47.1	3.5

Source: stockanalysis.com, fetched 03-Jun-2026. TTM multiples. 'n.m.' = not meaningful (trough earnings). TXN commands the highest P/B in the group (16.7x), reflecting superior returns — but also the richest absolute valuation, and its forward P/E (37.4x) sits well above NXPI (20.6x).

Scenario Analysis (12-month)

Scenario	Key assumptions	FY27E EPS	Target P/E	Target \$	vs CMP
Bull	AI/data-center super-cycle sustains; pricing holds; FY27 EPS ~\$11.0	11.00	33x	365	+18%
Base	Normal recovery; margins normalise to ~41%; pricing partly fades	9.70	29x	280	-9.5%
Bear	Cycle rolls over; China substitution + price give-back; EPS ~\$7.5	7.50	26x	195	-37%

Valuation Methodology

- **Earnings multiple:** We assign a 29x forward P/E to FY27E EPS of \$9.70 — a deliberate premium to TXN's ~22–25x 10-year norm for franchise quality and reshoring optionality, but below today's 37x. Implied value ≈ **\$281/share**.
- **EV/EBITDA cross-check:** 22x (vs ~15–17x historical, 33.6x today) on FY27E EBITDA of ~\$11.6B gives EV ≈ \$255B; net of ~\$9B net debt and on ~910M shares, implied value ≈ **\$270/share**.
- **DCF sanity check:** WACC ~9%, terminal growth 3.5%, FCF re-inflecting to ~\$8–9B by 2028 as capex normalises to ~\$3B — supports an intrinsic value in the **\$255–280** range.
- **Blended 12-month target = \$280** (≈ average of the methods), implying **-9.5%** downside from the \$309.26 quote. Even the Street's own average target (\$290) sits below spot — the market price has outrun the fundamentals.

9 Key Risks

- **Valuation de-rating** — A 37x forward multiple leaves no margin for error; a reversion toward the historical ~25x alone is ~30% downside even on flat estimates. **Prob: H • Impact: H.** Monitor: forward P/E vs 10-yr band, Street target vs price.
- **Cycle relapse** — Industrial/auto demand is recovering but uneven (China auto soft); a stall would hit utilisation and margins hard given the new depreciation base. **Prob: M • Impact: H.** Monitor: book-to-bill, industrial YoY, distributor inventory.
- **Pricing give-back** — The 15–85% list-price hikes are an upcycle phenomenon; Chinese substitution and normalising supply could reverse them, deflating the margin recovery. **Prob: M • Impact: M-H.** Monitor: blended ASPs, gross-margin trajectory, competitor pricing.
- **Data-center durability** — +90% YoY is off a small base (~11–12% of sales); if the AI socket ramp disappoints, a key part of the bull narrative fades. **Prob: M • Impact: M.** Monitor: data-center segment disclosure, hyperscaler capex.
- **Capital-return strain** — Payout ~100% plus rising net debt means a demand miss pressures the dividend-growth streak. **Prob: L-M • Impact: M.** Monitor: FCF/share vs \$8 target, net debt/EBITDA.
- **Capex overrun / policy reversal** — The >\$60B fab plan assumes CHIPS/ITC support persists; a clawback or cost overrun would dent FCF. **Prob: L • Impact: M.** Monitor: ITC receipts, capex guidance revisions.
- **Geopolitical / export controls** — China is both a large market and a rising competitor; tighter controls cut both ways. **Prob: M • Impact: M.** Monitor: China revenue mix, export-rule changes.

- **Rating: REDUCE** (conviction: **Medium**). A best-in-class business at a price that already discounts a full-cycle recovery plus an AI premium.
- **12-month target: \$280** (-9.5% from \$309.26).
- **Suggested re-accumulation zone: \$235–\$260** (~29–32x FY26E EPS) — where the risk/reward turns favourable again.
- **Investment horizon: 12 months** (the call is about multiple, not franchise; the franchise is a long-term keeper).
- **Thesis-invalidation triggers** (conditions that would make this REDUCE wrong and warrant an upgrade):
 - 1. FY26 EPS tracks to **≥ \$9.0** (vs our \$8.05E) on sustained data-center + industrial strength, compressing the forward multiple organically.
 - 2. FCF/share clears **>\$9** in 2026 with capex held at \$2–3B — re-rating the cash story.
 - 3. Gross margin re-accelerates back above **62%** on utilisation + pricing, signalling the cost moat is compounding faster than modelled.
- **Ideal investor profile:** A long-term quality compounder who already owns TXN should **hold the core and trim into strength**, not chase here. New capital should wait for the re-accumulation zone. This is **not** a stock to initiate at 37x forward / 50% above its 200-DMA. Pure momentum traders may ride the trend but must respect a tight stop.

APPENDIX — Latest Concall Brief: Q1 FY2026

Texas Instruments Q1 CY2026 earnings call — reported 22 April 2026 · CEO Haviv Ilan · CFO Rafael Lizardi

CALL GRADE		STRONGLY POSITIVE
Signal	Status	Implication
Result quality	Strong	Revenue +19% YoY and EPS \$1.68 beat consensus (~\$1.30) handily.
Management tone	Balanced	Constructive on demand, but deliberately refused to extrapolate H2.
Guidance delta	Raised	Q2 guide (\$5.0–5.4B / EPS \$1.77–2.05) implies continued acceleration.
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

TXN's Q1 print was clean and genuinely strong — \$4.83B revenue (+19% YoY, +9% QoQ) and \$1.68 EPS, well ahead of the ~\$1.30 consensus, with no meaningful one-off flattering the number (a small ~\$0.05 acquisition-related charge actually worked against it). The quality is in the mix: Analog +22%, industrial +30% YoY, and data-center +90% YoY now ~11–12% of sales — gross margin jumped 210bps QoQ to 58% on better utilisation. The multi-bagger structural story is intact: world's #1 analog franchise, a 300mm cost moat compounding as internal manufacturing heads to >95% by 2030, and a capex cliff (2026 capex guided to \$2–3B from ~\$4.6B) that should drive FCF/share above \$8 this year. The near-term catalyst is the 21 July Q2 print and whether the data-center ramp and pricing hold into H2. The single biggest watch-point is valuation, not operations — at 37x forward and 16.7x book the stock has run ~80% YTD and trades above the Street's own average target. My call: this is a HOLD-and-TRIM into strength; do not add new money above ~\$290, and re-accumulate aggressively only on a pullback into the \$235–260 zone.

1 — Financial Performance Snapshot

- Revenue: \$4.83B | YoY +19% | QoQ +9% | **Beat** (vs ~\$4.53B consensus).
- Gross margin: 58% | QoQ +210 bps | **Beat** — utilisation-led.
- Operating income (Analog seg.): \$1.64B | Embedded \$0.12B (+205% YoY).
- Net income: \$1.55B | YoY +31% | **Beat**.
- EPS: \$1.68 | YoY +31% | **Beat** (vs ~\$1.30) | includes ~\$0.05 acquisition-related charge.
- NOTE: No exceptional gain inflated the result; the beat is operational, not cosmetic.

2 — Segment / Geography Breakdown

- Analog: \$3.92B | YoY +22% | ~81% of revenue | broad-based strength.
- Embedded Processing: \$0.72B | YoY +12% | operating profit +205% on operating leverage.
- Data center (cross-segment): +90% YoY | ~11–12% of total sales | the new growth engine.
- Industrial (end-market): +30% YoY | still ~15% below the 2022 peak — runway remains.
- Automotive: ~flat QoQ | China down, rest-of-world up | holding near peak.

3 — Management Commentary Themes

- Cycle inflection: 'first quarter the broad [industrial] market is starting to wake up again.' — Our read: durable recovery beginning. Tag: EST. Tone: Transparent.
- FCF philosophy: 'long-term growth of free cash flow per share' reiterated as the north star. Tag: GUIDANCE. Tone: Transparent.
- Pricing: management downplayed price as a lever ('customer relationships first') even as channel reports 15–85% list hikes — Our read: margin tailwind is real but mgmt won't bank on it. Tag: EVASIVE. Tone: Hedged.
- H2 outlook: 'we want to play it quarter by quarter' — refused to extrapolate. Our read: prudent, but limits visibility. Tag: GUIDANCE. Tone: Hedged.
- Capacity: back-end (assembly/test) is the near-term bottleneck; phase-three investments underway. Tag: GUIDANCE. Tone: Transparent.

4 — Operating & Business Metrics

- Inventory: \$4.7B | -\$109M QoQ | days inventory 209 (-13 QoQ) | target band 150–250 days | Trend: improving.
- Capex (TTM): elevated but rolling over; 2026 guided to \$2–3B from ~\$4.6B in 2025 | Trend: falling (positive for FCF).
- FCF (TTM): ~\$4.35B, +154% YoY (aided by CHIPS incentives) | Trend: improving.
- CFO (TTM): \$7.82B | Trend: improving.
- Data-center revenue share: ~11–12% vs low-single-digit a year ago | Trend: improving fast.

5 — Margin Drivers

- Higher utilisation: +210 bps QoQ gross-margin lift | Recurring: Yes (while volumes rise) | the main swing factor.
- Pricing (list hikes 15–85% on select parts): +ve | Recurring: No/uncertain | upcycle-driven, contestable.
- New-fab depreciation: headwind of several hundred bps vs 2022 | Recurring: Yes | digests as revenue scales.
- Mix (data center / industrial): modestly accretive | Recurring: Yes.
- Flag: do NOT extrapolate the pricing component into long-run estimates.

6 — Guidance & Forward Signals

- Q2 FY26 revenue [GUIDANCE]: New = \$5.00–5.40B (midpoint +-8% QoQ) | Delta: raised | Credibility: High.
- Q2 FY26 EPS [GUIDANCE]: New = \$1.77–2.05 | Delta: raised | Credibility: High.
- 2026 capex [GUIDANCE]: New = \$2–3B (vs ~\$4.6B 2025) | Delta: cut (intended) | Credibility: High.
- 2026 FCF/share [GUIDANCE]: >\$8 'highly probable', 'easily beat' if demand holds | Credibility: Medium-High.
- H2 demand [no guidance]: explicitly withheld | Credibility: n/a — watch Q2.

7 — Capital Allocation

- Capex: ~\$4.6B in 2025 -> \$2–3B guided 2026 | major build-out digesting.
- Dividends: ~\$5.0B in FY25; 22 consecutive years of increases; DPS now \$5.68 annualised.
- Buybacks: ~\$1.5B FY25 (throttled during capex peak); scope to rise as FCF recovers.
- CHIPS Act: ~\$630M direct funding received of \$1.6B; est. \$6–8B ITC over time | augments FCF.
- Net debt: ~\$9.2B (1.1x EBITDA) | funded the capex/dividend gap; expected to ease as FCF inflects.

8 — Q&A Heat Map

- Analyst (data center): Q: 'Is +90% YoY durable?' -> A: secular tailwinds + supply edge = share gains, sockets ramp into H2 | Tone: Transparent.
- Analyst (industrial): Q: 'Real recovery or false start?' -> A: broad-based, still 15% below peak, want Q2 proof | Tone: Hedged.
- Analyst (pricing): Q: 'Will you raise prices like peers?' -> A: deflected, 'TI follows', relationships first | Tone: Evasive.
- Analyst (inventory): Q: 'Rebuild or drain?' -> A: target 150–250 days, drift to low end in an upturn | Tone: Transparent.
- Analyst (automotive): Q: 'China weakness?' -> A: China soft, RoW up, near peak, monitoring | Tone: Transparent.
- Dodged / watch-list for next quarter: explicit H2 revenue trajectory; durability of pricing gains.

9 — Risks Flagged

- Pricing reversibility: upcycle hikes may give back | Flagged by: analysts | Prob: M | Impact: M-H | Timeline: medium.
- Automotive/China softness: regional demand uneven | Flagged by: mgmt | Prob: M | Impact: M | Timeline: near.
- H2 demand uncertainty: mgmt declined to guide | Flagged by: mgmt | Prob: M | Impact: M | Timeline: near.
- Back-end capacity tightness: external assembly/test constraint | Flagged by: mgmt | Prob: L-M | Impact: M | Timeline: near.

10 — Analyst Verdict

- Revenue visibility: Intact — broad-based +19% growth and a raised Q2 guide.
- Margin trajectory: Intact — utilisation-led recovery underway; pricing a bonus, not a base case.
- Capital-allocation quality: Intact — capex cliff + FCF inflection + 22-yr dividend record, though payout ~100%.
- Competitive moat: Intact — 300mm cost edge and breadth widen the lead.

- Management credibility: Intact — beat-and-raise, consistent FCF/share philosophy, candid on what they won't guide.
- Valuation comfort: **Weakened** — 37x forward / 16.7x book leaves no margin of safety.
- Conviction call: Unchanged (REDUCE on valuation; franchise quality not in question).
- Valuation snapshot: P/E = 52.7x (5Y avg ~26x) | EV/EBITDA = 33.6x (5Y avg ~18x) | ROCE = 20.7% (5Y avg ~31%).

Prepared by Momentum Institutional Equities · 03 June 2026. Financials from stockanalysis.com (fetched 03-Jun-2026); qualitative context from company disclosures and public reporting. Estimates are the analyst's own. For information only — not investment advice, not an offer to buy or sell any security.